

Business Responsibility & Sustainability Report 2021-22

Overview

This is NATCO's first Business Responsibility Sustainability Report (BRSR) FY 2021-22 and the Company has adopted this disclosure on a voluntary basis.

BRSR is applicable to the top 1000 listed entities (by market capitalization), for reporting on a mandatory basis from FY 2022 – 23. The Securities and Exchange Board of India (SEBI) introduced new requirements for sustainability reporting by listed entities. The new reporting called the Business Responsibility and Sustainability Report (BRSR) will replace the existing Business Responsibility Report (BRR).

In line with the Company's mission of "Making specialty medicines accessible to all", NATCO is guided by its strong belief to embed sustainability across the dimensions of Environment, Social and Governance aspects.

Through this Report we intend to bring in more transparency on the material ESG related opportunities and risks the Company faces and incorporate the BRSR as a part of the Company's annual disclosure.

SECTION A: General Disclosures

I. Details of the listed entity

1	Corporate Identity Number (CIN) of the Listed Entity:	L24230TG1981PLC003201
2	Year of incorporation:	1981
3	Name of the Listed Entity:	Natco Pharma Limited
4	Registered office address:	NATCO House, Road No. 2, Banjara Hills, Hyderabad - 500034
5	Corporate address:	NATCO House, Road No. 2, Banjara Hills, Hyderabad - 500034
6	E-mail:	investors@natcopharma.co.in
7	Telephone:	040 23547532
8	Website:	www.natcopharma.co.in
9	Financial year for which reporting is being done:	April 1,2021 to March 31,2022 (FY22)
10	Name of the Stock Exchange(s) where shares are listed:	Equity shares are listed on BSE Limited (BSE) and the National Stock Exchange of India Limited (NSE)
11	Paid-up Capital:	₹ 365 million
12	Name and contact details (telephone, e-mail address) of the person who may be contacted in case of any queries on the BRSR report:	Mr PSRK Prasad, Director and Executive VP, Corporate Engineering Services Tel: 8542 226611 psrk@natcopharma.co.in Mr Rajesh Chebiyam, Executive Vice President, Crop Health Sciences Tel: 040 2354 7532 Rajesh.chebiyam@natcopharma.co.in
13	Reporting boundary - Are the disclosures under this report made on a standalone basis (i.e. only for the entity) or on a consolidated basis (i.e. for the entity and all the entities which form a part of its consolidated financial statements, taken together):	Disclosures made in this report are standalone basis pertaining only to NATCO Pharma Limited.

II. Products/services

14. Details of business activities (accounting for 90% of the turnover):

S. No.	Description of Main Activity	Description of Business Activity	% of Turnover of the entity
	Manufacturing and sale of pharmaceutical products	NATCO operates in two different business segments: pharmaceuticals and agrochemicals. Within the pharma business segment, the Company drives its sales through Finished Dosage Forms (FDFs) and Active Pharmaceutical Ingredients (APIs)	99%

15. Products/Services sold by the entity (accounting for 90% of the entity's Turnover):

S. No.	Product/Service	NIC Code	% of total Turnover Contributed
	Manufacture of pharmaceuticals, medicinal chemicals including Active Pharmaceutical Ingredients (API) and Finished Dosage Formulations	210	>90%

III. Operations

16. Number of locations where plants and/or operations/offices of the entity are situated:

Location	Number of plants	Number of offices	Total
National	10 manufacturing facilities and 2 R&D centers	1 Corporate office	13
International	Not applicable	Not applicable	Not applicable

17. Markets served by the entity:

a. Number of locations

Locations	Number
National (No. of States)	All
International (No. of Countries)	50+

b. What is the contribution of exports as a percentage of the total turnover of the entity?

For FY22 the contribution of exports is 63.7% (including export of APIs and FDFs) of the total turnover.

c. A brief on types of customers : Distributors, Stockists, Hospitals, Government agencies and other pharma companies

IV. Employees

18. Details as at the end of Financial Year:

a. Employees and workers (including differently abled):

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
	Employees					
1.	Permanent (D)	3512	3157	89.89	355	10.11
2.	Other than Permanent (E)	735	638	86.80	97	13.19
3.	Total employees (D + E)	4247	3795	89.36	452	10.64
	Workers					
4.	Permanent (F)	513	419	81.67	94	18.32
5.	Other than Permanent (G)	0	0	0	0	0
6.	Total workers (F + G)	513	419	81.67	94	18.32

b. Differently abled Employees and workers:

S. No.	Particulars	Total (A)	Male		Female	
			No. (B)	% (B / A)	No. (C)	% (C / A)
	Differently Abled Workers					
4.	Permanent (D)	1	1	1	0	0
5.	Other than					
6.	Total differently abled workers (F + G)	1	1	1	0	0

19. Participation/Inclusion/Representation of women

Particulars	Total (A)	No. and percentage of Females	
		No. (B)	% (B / A)
Board of Directors	9	1	11%
Key Management Personnel	20+	-	-

20. Turnover rate for permanent employees and workers

(Disclose trends for the past 3 years)

Particulars	FY 2021-22			FY 2020-21			FY 2019-20		
	Male	Female	Total	Male	Female	Total	Male	Female	Total
Permanent Employees	16.13%	1.71%	17.84% ¹	9.49%	0.89%	10.38%	7.99%	1.04%	9.02%
Permanent Workers	0.38%	0.01%	0.39%	0.23%	0.14%	0.37%	0.10%	0.10%	0.20%

¹ In FY21-22, as business conditions evolved we have ensured right-sizing of the workforce

V. Holding, Subsidiary and Associate Companies (including joint ventures)

21 (a) Names of holding / subsidiary / associate companies / joint ventures

S. No.	Name of the holding / subsidiary / associate companies / joint ventures (A)	Indicate whether holding/ Subsidiary/ Associate/ Joint Venture	% of shares held by listed entity	Does the entity indicated at column A, participate in the Business Responsibility initiatives of the listed entity? (Yes/No)
1	Natco Pharma Inc.	Wholly Owned Subsidiary Company	100	No
2	Natco Pharma (Canada) Inc.	Wholly Owned Subsidiary Company	100	No
3	Time Cap Overseas Limited	Wholly Owned Subsidiary Company	100	No
4	Natcofarma Do Brasil Ltda	Step-down Wholly Owned Subsidiary of the Company	100	No
5	Natco Pharma Asia Pte Ltd	Subsidiary Company	100*	No
6	Natco Pharma Australia Pty Ltd	Wholly Owned Subsidiary Company	100	No
7	Natco Life Sciences Philippines Inc.	Subsidiary Company	100*	No
8	Dash Pharmaceuticals LLC	Step-down Wholly Owned Subsidiary of the Company	100	No

*Includes the shares held by the nominee shareholders of the subsidiaries on behalf of the Company

VI. CSR Details

22 (i) Whether CSR is applicable as per section 135 of Companies Act, 2013: Yes

(ii) Turnover in ₹ 20438 Million

(iii) Net worth in ₹ 42636 Million

VII. Transparency and Disclosures Compliances

23. Complaints/Grievances on any of the principles (Principles 1 to 9) under the National Guidelines on Responsible Business Conduct

Stakeholder group from whom complaint is received	Grievance Redressal Mechanism in Place (Yes/No) (If Yes, then provide web-link for grievance redress policy)	FY 2021-22 Current Financial Year		Remarks	FY 2020-21 Previous Financial Year		Remarks
		Number of complaints filed during the year	Number of complaints pending resolution at close of the year		Number of complaints filed during the year	Number of complaints pending resolution at close of the year	
Investors (other than shareholders)	No*	2	0	-	5	0	-

*There is no specific Grievance Redressal Policy of the Company. However, the Company follows the SEBI Regulations and Companies Act provisions to redressal of Investor Grievances.

24. Overview of the entity's material responsible business conduct issues

Please indicate material responsible business conduct and sustainability issues pertaining to environmental and social matters that present a risk or an opportunity to your business, rationale for identifying the same, approach to adapt or mitigate the risk along-with its financial implications, as per the following format

S. No	Material issue Identified	Indicate whether risk or opportunity (R/O)	Rationale for identifying the risk / opportunity	Incase of risk, approach to adapt or mitigate	Financial implications of the risk or opportunity (Indicate positive or negative implications)
1	Renewable energy	Opportunity	Renewable energy initiatives forms an important aspect of the Company's sustainability driven pursuits, which is also a promising solution to climate change problem.	-	Positive, Even though the ROI is longer it has instore inevitable benefits of i) Reduction in overall energy cost ii) Reduction in emissions Currently the Company's renewable energy contribution is 26.52% of the total energy requirement.
2	Conservation – water, energy and waste recycling	Opportunity	Responsible use of resources that includes water conservation efforts, improving energy efficiency, reducing GHG emissions, efficient waste disposal approaches, designing innovative solutions to reduce, reuse and recycle, supports the Company's actions towards sustainable growth.	-	Positive, Conservation of resources leads to - Positive economic benefit as it brings about cost saving - Efficient usage of resources, - Regulatory compliance and beyond
3	Planning and measurement of social impact	Opportunity	Measuring the social impact of the Company's social responsibility initiatives is a critical driver to; i) Understand effectiveness and reach of the program, ii) Enable scale up iii) Set in a systemic approach iii) Ensure long term sustainability of the program	-	Positive - Identifying initiatives that are not performing well, so that they can be recalibrated and improved, thereby ensuring the investment finds true purpose - Effective programs can continue to receive funding, enable scale up to include more communities and impact more lives
4	Learning and development	Opportunity	The Company believes training is one of the key factors in equipping employees to contribute sustainably.		Positive, Consistent efforts towards training in the areas of Quality, cGMP, and EHS equips the work force to meet a surge in demand of the business We follow a process of training needs analysis based on which the annual training calendar is prepared.

S. No.	P1	P2	P3	P4	P5	P6	P7	P8	P9
Policy and management processes									
1. a. Whether your entity's policy/policies cover each principle and its core elements of the NGRBCs. (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
b. Has the policy been approved by the Board? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
c. Web Link of the Policies, if available									
2. Whether the entity has translated the policy into procedures. (Yes / No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
3. Do the enlisted policies extend to your value chain partners? (Yes/No)	Y	Y	Y	Y	Y	Y	Y	Y	Y
4. Name of the national and international codes/certifications/labels/ standards (e.g. Forest Stewardship Council, Fairtrade, Rainforest Alliance, Trustea) standards (e.g. SA 8000, OHSAS, ISO, BIS) adopted by your entity and mapped to each principle.	-	ISO 14001	ISO 45001	-	-	-	As per the CSR Rules - Companies Act, 2013	-	-
5. Specific commitments, goals and targets set by the entity with defined timelines, if any.	We are in a process of developing a mechanism to harmonise commitments, goals and targets across the facilities.								
6. Performance of the entity against the specific commitments, goals and targets along-with reasons in case the same are not met.									
Governance, leadership and oversight									
7. Statement by director responsible for the business responsibility report, highlighting ESG related challenges, targets and achievements (listed entity has flexibility regarding the placement of this disclosure) NATCO is committed to lead its business in a sustainable manner. As we aspire to grow, we are keen on leaving our footprints in a manner that is conducive to all our stakeholders. At NATCO, we have always considered sustainability as a critical component of our success over the years. We acknowledge the importance of safeguarding the environment as we seek to achieve our goal of providing improved patient care and creating value for our shareholders. We operate as a responsible Company, serving broader economic, societal, and environmental interests. To ensure sustainability, we focus on reducing waste and stepping up our renewable energy efforts.									
8. Details of the highest authority responsible for implementation and oversight of the Business Responsibility policy (ies).	Board of Directors								
9. Does the entity have a specified Committee of the Board/ Director responsible for decision making on sustainability related issues? (Yes / No). If yes, provide details.	We have constituted a Sustainability Working Group that comprises senior leaders and key management personnel as members.								

10. Details of Review of NGRBCs by the Company:

Subject for review	Indicate whether review was undertaken by Director / Committee of the Board/ Any other Committee					Frequency (Annually/ Half yearly/ Quarterly/ Any other – please specify)				
S. No.	P1	P2	P3	P4	P5	P6	P7	P8	P9	
Performance against above policies and follow up action	The Company reviews all the policies on a need basis by the Key Managerial Personnel or BOD. The policies are reviewed for their applicability, updated and communicated within the organisation to the relevant stakeholders.									
Compliance with statutory requirements of relevance to the principles, and, rectification of any non-compliances	The Company is complying with the relevant statutory requirements.									
11. Has the entity carried out independent assessment/ evaluation of the working of its policies by an external agency? (Yes/No). If yes, provide name of the agency.	N	Y	Y	N	N	N	N	Y	N	

12. If answer to question (1) above is "No" i.e. not all Principles are covered by a policy, reasons to be stated:

The Company related policies, statutory requirements, processes, based on the need are assessed by an internal mechanism. 3rd party assessment are undertaken in the case of ISO 14001, ISO 45001 conducted by DNV and a CSR assessment conducted by Poverty Learning Foundation.

SECTION C: Principle wise Performance Disclosure

This section is aimed at helping businesses demonstrate the structures, policies and processes put in place towards adopting the NGRBC Principles and Core Elements.

PRINCIPLE 1 Businesses should conduct and govern themselves with integrity, and in a manner that is Ethical, Transparent and Accountable.

Essential Indicators

1. Percentage coverage by training and awareness programmes on any of the Principles during the financial year: To elaborate this section

Segment	Topics /principles covered under the training and its impact
Board of Directors (BoD) / Key Managerial Personnel	- Familiarisation Programme conducted to the Directors. The Principles form a part of Company Overview, presentation and induction programs and include the Code of Business Conduct and Ethics. - Updates on legal aspects, market dynamics and investors, and changes in the regulations are communicated on a need basis. - Improvements/concerns on Environmental Safety Health performance, products and processes -related strategies are communicated during the quarterly updates along with financial results and overall business compliance.
Employees other than BoD and KMPs	Policy on Sexual Harassment, Code of conduct for Employees, ongoing training on CGMP, GMP, Safety, and Emergency preparedness conducted by following the yearly training schedule. Due to the pandemic, some of the training could not be conducted as per the plan

Segment	Topics /principles covered under the training and its impact
Workers	Policy on Sexual Harassment, Code of conduct for Employees, ongoing training on CGMP, GMP, Safety, and Emergency preparedness conducted by following the yearly schedule. Due to the pandemic, some of the training could not be conducted as per the plan

2. Details of fines / penalties /punishment/ award/ compounding fees/ settlement amount paid in proceedings (by the entity or by directors / KMPs) with regulators/ law enforcement agencies/ judicial institutions, in the financial year, in the following format (Note: the entity shall make disclosures on the basis of materiality as specified in Regulation 30 of SEBI (Listing Obligations and Disclosure Obligations) Regulations, 2015 and as disclosed on the entity's website):

Monetary					
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Amount (In ₹)	Brief of the Case	Has an appeal been preferred? (Yes/No)
Penalty/Fine	NIL	NIL	NIL	NIL	NIL
Settlement	NIL	NIL	NIL	NIL	NIL
Compounding fee	NIL	NIL	NIL	NIL	NIL

Non-Monetary				
	NGRBC Principle	Name of the regulatory/ enforcement agencies/ judicial institutions	Brief of the Case	Has an appeal been preferred? (Yes/No)
Imprisonment	NIL	NIL	NIL	NIL
Punishment	NIL	NIL	NIL	NIL

3. Of the instances disclosed in Question 2 above, details of the Appeal/ Revision preferred in cases where monetary or non-monetary action has been appealed.

Case Details	Name of the regulatory/ enforcement agencies/ judicial institutions
NA	NA

4. Does the entity have an anti-corruption or anti-bribery policy? If yes, provide details in brief and if available, provide a web-link to the policy.

The Company has no specific anti-corruption or anti-bribery policy. However, the anti-corruption or anti-bribery clauses/aspects are covered under Companies Code of Conduct for the Board, Senior Management Personnel and under Employee Code of Conduct for employees.

The policy reiterates not to adopt practices that are abusive, corrupt, or anti-competitive. The policy reinforces that the Company shall strive to uphold highest standards of integrity and transparency in its transactions and any bribery and corruption is disallowed which would influence the decision making mechanism of the Company.

This policy applies to the Board of Directors, Senior Management Personnel and all the employees and shall be abided by the Company Code of Conduct and Employee Code of Conduct at all times.

The policy can be accessed on the Company's website, <https://www.natcopharma.co.in/responsibility/business-responsibility-policies-2/>

5. Number of Directors/KMPs/employees/workers against whom disciplinary action was taken by any law enforcement agency for the charges of bribery/ corruption:

	FY 2021-22 (Current Financial Year)	FY 2020-21 (Previous Financial Year)
Director	Nil	Nil
KMPs	Nil	Nil
Employees	Nil	Nil
Workers	Nil	Nil

6. Details of complaints with regard to conflict of interest:

During the FY 2021-22, the Company did not receive any complaints with regard to conflict of interest.

7. Provide details of any corrective action taken or underway on issues related to fines / penalties / action taken by regulators/ law enforcement agencies/ judicial institutions, on cases of corruption and conflicts of interest

During the FY 2021-22, the Company did not receive any complaints with regard to conflict of interest.

PRINCIPLE 2 Businesses should provide goods and services in a manner that is sustainable and safe.

Essential Indicators

1. Percentage of R&D and capital expenditure (capex) investments in specific technologies to improve the environmental and social impacts of product and processes to total R&D and capex investments made by the entity, respectively:

The Company information furnished as per Annexure VI to Board report – Annual report annexures and Note 39 of AR.

2. a. Does the entity have procedures in place for sustainable sourcing? (Yes/No)

- b. If yes, what percentage of inputs were sourced sustainably?

No. However as a part of the sustainable sourcing strategy, we follow the following practices:

- (i) Identifying more than one supply source for key starting materials is prioritized.
- (ii) In addition to stringent quality checks vendors are qualified on EHS performance.

3. Describe the processes in place to safely reclaim your products for reusing, recycling and disposing at the end of life, for (a) Plastics (including packaging) (b) E-waste (c) Hazardous waste and (d) other waste.

- E-wastes disposed to authorized e-waste recyclers/collection centers/authorized dismantlers.
- Hazardous wastes disposed to authorized cement industries/authorized pre-processing facilities /authorized TSDF (Treatment Storage Disposal Facility).
- Non-hazardous wastes sent to pre-processing facilities/recyclers.
- Plastic wastes sent to recyclers

4. Whether Extended Producer Responsibility (EPR) is applicable to the entity's activities (Yes / No). If yes, whether the waste collection plan is in line with the Extended Producer Responsibility (EPR) plan submitted to Pollution Control Boards? If not, provide steps taken to address the same.

- Yes. Extended Producer Responsibility (EPR) is applicable
- Extended Producer Responsibility (EPR) action plan is in place and is in line with the CPCB guidelines. Registered with CPCB under Plastic waste Rules as "Brand Owner".

PRINCIPLE 3 Businesses should respect and promote the well-being of all employees, including those in their value chains

Essential Indicators

1. a. Details of measures for the well-being of employees:

Category	Total (A.)	% of employees covered by									
		Health insurance		Accident insurance		Maternity Benefits ²		Paternity Benefits ³		Day Care Facilities ⁴	
		Number (B)	%(B/A)	Number (C)	%(C/A)	Number (D)	%(D/A)	Number (E)	%(E/A)	Number (F)	%(F/A)
Permanent employees											
Male	3157	2606	82.54%	3157	100%	20	0.63%	22	0.70%	-	-
Female	355	236	66.48%	355	100%	17	4.79%	0	0.00%	-	-
Total	3512	2842	80.92%	3512	100%	37	1.05%	22	0.63%	-	-

² Maternity benefits for eligible employees were given as per the statutory requirements.

³ Employees are provided with Paternity Benefits on a need basis.

⁴ Day care (Creche) facilities are available at the formulation's facilities (Kothur & Nagarjunasagar) and R&D Center but have not been utilised since the pandemic

b. Details of measures for the well-being of workers:

Category	Total (A.)	% of workers covered by									
		Health insurance		Accident insurance		Maternity Benefits		Paternity Benefits		Day Care Facilities	
		Number (B)	%(B/A)	Number (C)	%(C/A)	Number (D)	%(D/A)	Number (E)	%(E/A)	Number (F)	%(F/A)
Permanent workers											
Male	419	410	97.85%	419	100%	1	0.24%	-	-	-	-
Female	94	86	91.48%	94	100%	0	0	-	-	-	-
Total	513	496	96.68%	513	100%	1	0.20%	-	-	-	-
Other than Permanent workers											
Male	638	0	-	638	100%	0	0	-	-	-	-
Female	97	0	-	97	100%	0	0	-	-	-	-
Total	735	0	-	735	100%	0	0	-	-	-	-

2. Details of retirement benefits, for Current and Previous Financial Year

Benefits	FY 2021-2022			FY 2020-2021		
	No. of employees covered as a % of total employees	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)	No. of employees covered as a % of total employee	No. of workers covered as a % of total workers	Deducted and deposited with the authority (Y/N/N.A.)
PF	100%	100%	Y	100%	100%	Y
Gratuity	100%	100%	Y	100%	100%	Y
ESI	31.15%	6.0%	Y	39.62%	7.15%	Y

3. Accessibility of workplaces

Are the premises / offices of the entity accessible to differently abled employees and workers, as per the requirements of the Rights of Persons with Disabilities Act, 2016? If not, whether any steps are being taken by the entity in this regard.

Yes, Various sections of the manufacturing facilities have ramps for easy movement of differently abled people. Wheelchair accessible restrooms are available in the manufacturing facilities.

4. Does the entity have an equal opportunity policy as per the Rights of Persons with Disabilities Act, 2016? If so, provide a web-link to the policy.

No, we adhere to the requirements stipulated as per the Industrial laws.

5. Return to work and Retention rates of permanent employees and workers that took parental leave.

Our policy for maternity benefits as per the regulatory requirement, is covered for female employees.

6. Is there a mechanism available to receive and redress grievances for the following categories of employees and worker? If yes, give details of the mechanism in brief.

The Company encourages an open-door policy to receive and redress grievances for both employees and workers. The concerned employee or worker approaches the supervisor and based on the need it shall be escalated to the Human Resources Head at the facility and in turn represented to Management until the grievance is resolved amicably.

7. Membership of employees and worker in association(s) or Unions⁵ recognized by the listed entity:

Category	FY 2021-2022			FY 2020-2021		
	Total employee/ workers in respective categories (A)	No. of employees / workers in respective category, who are part of association(s) or Union (B)	% (B/A)	Total employee/ workers in respective categories (C)	No. of employees / workers in respective category, who are part of association(s) or Union (D)	% (D/C)
Total Permanent Employees	NA	NA	-	NA	NA	-
- Male	NA	NA	-	NA	NA	-
- Female	NA	NA	-	NA	NA	-
Total Permanent Workers ⁶	513			513		
- Male	419	419	81.67	433	433	81.54
- Female	94	94	18.32	98	98	18.46

⁵ Unions (Mekaguda, Kothur, Nagarjunasagar and R&D)

⁶ In Permanent Employees & Workers we did not consider the casual workers data.

8. Details of training given to employees and workers:

Category	Total (A)	FY 2021-2022 Current Financial Year				Total (D)	FY 2020-2021 Previous Financial Year			
		On Health and safety measures		On Skill Upgradation			On Health and safety measures		On Skill Upgradation	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
		Employees								
Male	3157	1631	51.66	1731	54.83	2929	2472	84.40	1668	56.95
Female	355	181	50.99	182	51.27	342	263	76.90	136	39.77
Total	3512	1812	51.59	1837	52.31	3271	2735	83.61	1804	55.15
		Workers+ Casuals								
Male	1057	1214	114.85	1160	109.74	1555	1389	89.32	1371	88.17
Female	191	114	59.69	118	61.78	220	70	31.82	96	43.64
Total	1248	1328	106.41	1278	102.40	1775	1459	82.20	1467	82.65

9. Details of performance and career development reviews of employees and worker:

Based on PMS process the Company identifies the potential employees and provides them appropriate training to update their competencies as per the requirements of the Company. Last two years, due to Covid-19 pandemic, the related programs were not conducted.

10. Health and safety management system:

- a. Whether an occupational health and safety management system has been implemented by the entity? (Yes/ No). If yes, the coverage such system?

Yes.

ISO 45001-2018: Occupational Health & Safety Management system implemented – at the Company's API facilities at Mekaguda and Chennai. The ISO 45001-2018 implementation is under progress at the R&D division and 4 of the formulation facilities at Kothur, Dehradun, Vizag and Nagarjunasagar

- b. What are the processes used to identify work-related hazards and assess risks on a routine and non-routine basis by the entity?

The Company has a process to identify work-related hazards and assess risks on a routine and non-routine basis through the following methods / processes:

- Hazard Identification & Risk Assessment (HIRA) for all activities
- HAZOP for all processes
- Risk Based Exposure assessment for all chemicals
- Walkthrough observations
- Plant Safety inspections
- Internal Safety Audits
- External Safety Audits

- c. Whether you have processes for workers to report the work-related hazards and to remove themselves from such risks. (Y/N)

Yes

- Walk through observation program
- Safety Suggestion programs
- Safety Committee meetings
- Near miss reporting
- Incident reporting systems

- d. Do the employees/ worker of the entity have access to non-occupational medical and healthcare services? (Yes/ No)

Yes

- Onsite Occupational Health Center is in place.
- Group Medical insurance schemes (Mediclaime)
- Employee State Insurance schemes (ESI)

11. Details of safety-related incidents, in the following format:

Safety Incident/ Number	Category	FY:2021-22	FY:2020-21
Lost Time Injury Frequency Rate (LTIFR) (per one million-person hours worked)	Employees	0	0
	Workers	0	0
Total recordable work-related Injuries	Employees	0	0
	Workers	0	0
No. of fatalities	Employees	0	0
	Workers	0	0
High consequence work-related injury or ill-health (excluding fatalities)	Employees	0	0
	Workers	0	0

12. Describe the measures taken by the entity to ensure a safe and healthy workplace.

- The Company has an Environment, Health, and Safety policy, duly signed by Chairman & Managing Director. The EHS policy is being reviewed periodically.
- To achieve the objectives outlined in the EHS policy, Natco integrates EHS goals and objectives into its business planning, decision making, performance tracking and governance processes.
- The Company is promoting a culture in the organization that supports the EHS Management System. It provides the necessary resources and support for appropriate EHS initiatives and programs to ensure the implementation of the EHS policy in line with our business objectives and compliance obligations.
- The measure taken by the Company to ensure a safe and healthy workplace are:
 - Visible Leadership commitment and ongoing communication
 - Involving all employees in the relevant EHS plans for activities.
 - Assessing the existence and effectiveness of EHS programs through appropriate audits and reviews.
 - Effectively reviewing and tracking corrective actions for all incidents, defects, hazards, inadequacies of procedures and suggested improvements
 - Reviewing EHS performance to ensure Company objectives and expectations are met
 - Reviewing the EHS system to ensure its continuing suitability, adequacy, effectiveness.
 - Training will be based on experience, skill levels, capabilities and regulatory requirements and are being tracked
 - Evaluation of EHS performance of individuals at different levels while considering their career advancement.
 - Purchasing materials and services that meet necessary Standards

13. Number of Complaints on the following made by employees and workers:

	FY: 2021-22			FY:2020-21		
	Filed during the year	Pending resolution at the end of year	Remarks	Filed during the year	Pending resolution at the end of year	Remarks
Working Conditions	8	0	-	11	0	-
Health & Safety	0	0	-	0	0	-

14. Assessments for the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Health & Safety	100%
Working Conditions	100%

15. Provide details of any corrective action taken or underway to address safety-related incidents (if any) and on significant risks / concerns arising from assessments of health & safety practices and working conditions.

- All near-miss incidents are being recorded, investigated and corrective actions implemented.
- Provided a guard to the coal belt conveyor by covering the nip points.
- Provided the pull chord throughout the length of the conveyor.
- All the Gaps/openings around the screener & conveyor ducts are covered with metal sheets.
- Extended the Fire hydrant system up to boiler coal shed.
- All ball valves removed under the safety relief valves of all air receivers

PRINCIPLE 4: Businesses should respect the interests of and be responsive to all its stakeholders**Essential Indicators**

1. Describe the processes for identifying key stakeholder groups of the entity.

Stakeholders are an integral part of the Company's business. Our engagements with our stakeholders have shaped understanding our expectations from them. We identify stakeholders on basis of their contribution in the value chain and who influence our business or are part of it.

2. List stakeholder groups identified as key for your entity and the frequency of engagement with each stakeholder group.

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Investors and shareholders	No	Annual Report, Media Releases, company website, investor meets etc.	Annual and Quarterly	Financial performance and Business sustainability
Regulators	No	Audits, filing of statutory records and one on one meetings	Site visits	Permits and mandatory submissions
Vendors	No	Scheduled meetings, emails and calls	Need based	Contracts and audits
Employees	No	Health camps, meets, training programs, Intranet and reviews	Need based	Policies, benefits and training
Patients	No	Assistance programs like NATREACH. Patient education leaflets	Need based	Educating the patients

Stakeholder Group	Whether identified as Vulnerable & Marginalized Group (Yes/No)	Channels of communication (Email, SMS, Newspaper, Pamphlets, Advertisement, Community Meetings, Notice Board, Website), Other	Frequency of engagement (Annually/ Half yearly/ Quarterly / others – please specify)	Purpose and scope of engagement including key topics and concerns raised during such engagement
Local Communities	No	Engagement with CSR projects, direct engagement through Natco Trust	Need based	Understanding the well being of the people and working to improve their lives and livelihoods
Doctors	No	One On One meeting through patient assistance program	New launches, updates on products	Educating them about newer therapies

PRINCIPLE 5 Businesses should respect and promote human rights

Essential Indicators

1. Employees and workers who have been provided training on human rights issues and policy(ies) of the entity, in the following format:

The Company follows all the rules and regulations related to Human rights issues and Human Rights Policy stipulated as per Industrial Laws. However due to COVID related challenges, the Company could not adhere to the scheduled trainings on human rights issues and policies during the FY. Awareness on the policy was given during informal interactions with employees and workers. For new joiners (employees / workers), induction program covers Company related Human Rights Policy and awareness on related issues.

2. Details of minimum wages paid to employees and workers, in the following format:

Category	Total (A)	FY 2021-22				Total (D)	FY 2020-21			
		Equal to Minimum Wage		More than Minimum Wage			Equal to Minimum Wage		More than Minimum Wage	
		No. (B)	% (B/A)	No. (C)	% (C/A)		No. (E)	% (E/D)	No. (F)	% (F/D)
Employees										
Permanent										
Male	3157	0	0	3157	100%	3314	0	0	3314	100%
Female	355	0	0	355	100%	355	0	0	355	100%
Workers										
Permanent										
Male	419	0	0	419	100%	433	0	0	433	100%
Female	94	0	0	94	100%	98	0	0	98	100%

3. Details of remuneration/salary/wages, in the following format:

	Male		Female	
	Number	Median remuneration/ salary/ wages of respective category	Number	Median remuneration/ salary/ wages of respective category
Board of Directors ⁸ (BoD)	-	-	-	-
Key Managerial Personnel	24	85,50,024.00	-	-
Employees other than BOD and KMP	3722	4,61,244.00	451	3,05,052.00
Workers	468	6,26,592.00	95	6,51,408.00

⁸ Refer Annexure V of annual report

4. Do you have a focal point (Individual/ Committee) responsible for addressing human rights impacts or issues caused or contributed to by the business? (Yes/No)

Yes

5. Describe the internal mechanisms in place to redress grievances related to human rights issues.

The Company adopts an open-door policy to redress any grievances encouraging two-way communication. The Company specifically addresses grievances related to Human Rights by presenting the issue with supervisor, in turn approaches the Human Resources Head at the facility and represents the case to Management.

6. Number of Complaints on the following made by employees and workers:

Category	FY 2021-22 Current Financial Year			FY 2020-21 Previous Financial Year		
	Filled during the year	Pending resolution at the end of year	Remarks	Filled during the year	Pending resolution at the end of year	Remarks
Sexual Harassment	No			No		
Discrimination at workplace	No			No		
Child Labour	No			No		
Forced Labour/ Involuntary Labour	No			No		
Wages	No			No		
Other human rights related issues	No			No		

7. Mechanisms to prevent adverse consequences to the complainant in discrimination and harassment cases.

- The Company deals with Discrimination and harassment cases with seriousness and treated with respect and in confidence.
- The Company has a Policy on sexual harassment of employees (As per the "Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act 2013.
- This policy is applicable to all the employees and workers of the Company.
- The Company has constituted a dedicated ICC (Internal Complaints Committee) at every facility, R&D and HQ to redress complaints through a well-defined process of investigation with written recommendation to Management along with a correction action plan safeguarding the interest of the complainant.

8. Do human rights requirements form part of your business agreements and contracts? (Yes/No)

No, However, we have proposed to include a clause that shall be included in future agreements.

9. Assessment of the year:

	% of your plants and offices that were assessed (by entity or statutory authorities or third parties)
Child Labour	State Labour Department
Forced Labour/ Involuntary Labour	State Labour Department
Sexual Harassment	District Administration Officers
Discrimination at workplace	State Labour Department
Wages	State Labour Department
Others – please specify	

10. Provide details of any corrective actions taken or underway to address significant risks / concerns arising from the assessments at Question 9 above.

No observations from the Statutory authorities.

PRINCIPLE 6: Businesses should respect and make efforts to protect and restore the environment**Essential Indicators**

1. Details of total energy consumption (in Joules or multiples) and energy intensity, in the following format:

Parameter	FY:2021-22	FY:2020-21
Total electricity consumption (A)	197308GJ	196120GJ
Total fuel consumption (B)	173315 GJ	169531GJ
Energy consumption through Renewable sources (Solar & Wind Energy) (C)	70242GJ	67789GJ
Total energy consumption (A+B+C)	440865GJ	433440GJ

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

The Company has not undergone any independent assessment / evaluation / assurance by an external agency

2. Does the entity have any sites / facilities identified as designated consumers (DCs) under the Performance, Achieve and Trade (PAT) Scheme of the Government of India? (Y/N) If yes, disclose whether targets set under the PAT scheme have been achieved. In case targets have not been achieved, provide the remedial action taken, if any.

No

3. Provide details of the following disclosures related to water, in the following format:

Parameter	FY:2021-22	FY:2020-21
Water withdrawal by source (in kiloliters)		
(i) Surface water	69173KL	66016KL
(ii) Groundwater	91630KL	81143KL
(iii) Third party water	43800KL	28630KL
Total volume of water withdrawal (in kiloliters) (i + ii + iii)	204603KL	175789KL
Total volume of water consumption (in kiloliters)	204603KL	175789KL

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

The Company has not undergone any independent assessment / evaluation / assurance by an external agency

4. Has the entity implemented a mechanism for Zero Liquid Discharge? If yes, provide details of its coverage and implementation.

Yes.

Implemented Zero Liquid Discharge (ZLD) in Two API Division facilities (Mekaguda (450KL/D) & Chennai (200KL/D) units. Implementation of 360 KL/D ZLD system commissioning is under progress at Kothur formulations facility.

5. Please provide details of air emissions (other than GHG emissions) by the entity, in the following format:

Parameter	Please specify unit	FY:20021-22	FY: 2020-21
NOx	mg/nm3	140	145
Sox	mg/nm3	220	220
Particulate Matter (PM)	mg/nm3	45	50
Volatile organic compounds (VOC)	ppm	<5	<5

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

The Company has not undergone any independent assessment / evaluation / assurance by an external agency

6. Provide details of greenhouse gas emissions (Scope 1 and Scope 2 emissions) & its intensity, in the following format:

Parameter	Unit	FY:2021-22	FY:2020-21
Total Scope 1 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	13477	13265
Total Scope 2 emissions (Break-up of the GHG into CO ₂ , CH ₄ , N ₂ O, HFCs, PFCs, SF ₆ , NF ₃ , if available)	Metric tonnes of CO ₂ equivalent	44967	44696

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

The Company has not undergone any independent assessment / evaluation / assurance by an external agency

7. Does the entity have any project related to reducing Green House Gas emission? If then provide details.

Yes.

The Company have been investing in setting up renewable energy facilities at the Company's manufacturing facilities, both solar energy and wind energy. FY 2021-22, the Renewable energy mix is at 26.25% of the total energy consumption, reducing 16,008 tCO₂e of GHG emissions. The company's total solar energy capacity is at 6.0MW and Wind energy is at 4.2MW. The facility-wise details are available in the section on Responsible Operations.

8. Provide details related to waste management by the entity, in the following format:

Parameter	FY:2021-22	FY:2020-21
Total Waste generated (in metric tons)		
Plastic waste (A)	60 MT	60MT
E-waste (B)	1.578MT	2.585MT
Bio-medical waste (C)	19.865MT	16.147MT
Construction and demolition waste (D)	0	0
Battery waste (E)	427nos	208nos
Radioactive waste (F)	0	0
Other Hazardous waste. Please specify, if any. (G)	1955MT	2196MT
Total (A+B + C + D + E + F + G + H)	2036.443MT ⁹	2274.732MT ⁹
⁹ Does not account for battery waste		
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Recycled	642MT	785MT
(ii) Re-used	-	-
(iii) Other recovery options	65MT	139MT
Total	707MT	924MT
For each category of waste generated, total waste recovered through recycling, re-using or other recovery operations (in metric tonnes)		
Category of waste		
(i) Incineration	57MT	49MT
(ii) Landfilling	1191MT	1123MT
(iii) Composting	83MT	78MT
Total	1331MT	1250MT

Note: Indicate if any independent assessment/ evaluation/assurance has been carried out by an external agency? (Y/N) If yes, name of the external agency.

The Company has not undergone any independent assessment / evaluation / assurance by an external agency

9. Briefly describe the waste management practices adopted in your establishments. Describe the strategy adopted by your company to reduce usage of hazardous and toxic chemicals in your products and processes and the practices adopted to manage such wastes.

Following is the Company's waste management practices for hazardous, non-hazardous and biodegradable waste:

(i) Hazardous wastes are disposed to authorized disposal facilities:

- Organic Liquid & Solid wastes spent carbon sent to authorized cement industries for co-processing.
- Dried ETP sludge, organic semi-solid residues sent to authorized pre-processing facilities pre-processing followed by coprocessing in cement kilns.
- Inorganic solid wastes sent to TSDF for secured landfilling.
- Waste oil/used oil sent to authorized re-processors
- E-waste sent to authorized recycling facilities.
- Used batteries sent back to manufacturers on buy back basis.

(ii) Non-hazardous wastes are sent to recyclers/composting/end users:

- Garbage/general waste(combustible) sent to authorized pre-processing facilities for pre-processing followed by co-processing in cement kilns.
- Paper waste sent to ITC for recycling.
- Metal scrap (SS/ MS) sent to recyclers.
- HDPE carboys/drums sent to end users/recyclers
- Glass waste sent to recyclers.

(iii) Biodegradable wastes from canteen is converted as compost by using organic waste converter and used as manure for green belt.

10. If the entity has operations/offices in/around ecologically sensitive areas (such as national parks, wildlife sanctuaries, biosphere reserves, wetlands, biodiversity hotspots, forests, coastal regulation zones etc.) where environmental approvals / clearances are required, please specify details in the following format:

Not Applicable

11. Details of environmental impact assessments of projects undertaken by the entity based on applicable laws, in the current financial year:

Not Applicable

12. Is the entity compliant with the applicable environmental law/ regulations/ guidelines in India, such as the Water (Prevention and Control of Pollution) Act, Air (Prevention and Control of Pollution) Act, Environment protection act and rules thereunder (Y/N). If not, provide details of all such non-compliances, in the following format:

Yes. The Company is compliant with the applicable environmental law/regulations/guidelines.

PRINCIPLE 7: Businesses, when engaging in influencing public and regulatory policy, should do so in a manner that is responsible and transparent

Essential Indicators

1. a. Number of affiliations with trade and industry chambers/ associations.

The Company is a member of 9 trade and industry chambers / associations.

- b. List the top 10 trade and industry chambers/ associations (determined based on the total members of such body) the entity is a member of/ affiliated to.

S. No	Name of the trade and industry chambers/ associations	Reach of trade and industry chambers/ associations (State/National)
1.	Federation of Indian Chambers of Commerce & Industry (FICCI)	National
2.	Federation of Telangana Chambers of Commerce and Industry (FTCCI)	State
3.	Bulk Drug Manufacturers Association of India (BDMA)	National
4.	Indian Pharmaceutical Alliance (IPA)	National
5.	Indian Drug Manufacturing Association (IDMA)	National
6.	Confederation of Indian Industry (CII)	National
7.	Pharmaceuticals Export Promotion Council of India (PHARMEXCIL)	National
8.	Agro Chem Federation of India (ACFI)	National
9.	Hyderabad Management Association (HMA)	State

2. Provide details of corrective action taken or underway on any issues related to anti- competitive conduct by the entity, based on adverse orders from regulatory authorities:

Not applicable

PRINCIPLE 8: Businesses should promote inclusive growth and equitable development

Essential Indicators

1. Details of Social Impact Assessments (SIA) of projects undertaken by the entity based on applicable laws, in the current financial year

Not applicable

2. Provide information on project(s) for which ongoing Rehabilitation and Resettlement (R&R) is being undertaken by your entity, in the following format:

Not applicable

3. Describe the mechanisms to receive and redress grievances of the community.

The mechanism to receive and redress the grievances of the community has been through formal and informal dialogues.

4. Percentage of input material (inputs to total inputs by value) sourced from suppliers:

	FY 2021-22
Directly sourced from MSMEs/ small producers	11.35%
Sourced directly from within the district and neighboring districts (Within Telangana)	31%

PRINCIPLE 9: Businesses should engage with and provide value to their consumers in a responsible manner

Essential Indicators

- Describe the mechanisms in place to receive and respond to consumer complaints and feedback.

All consumer related complaints and feedback are handled by the Marketing department. The Marketing Department receives consumer complaints. It forwards them to the Quality Assurance Department, which investigates the complaint received and in turn the Marketing Department responds back to the consumer. A similar process is followed in case of feedback received from consumer.

- Turnover of products and/ services as a percentage of turnover from all products/service that carry information about.

	As a percentage to total turnover
Environmental and social parameters relevant to the product	Not available
Safe and responsible usage ¹⁰	100%
Recycling and/or safe disposal	Not available

¹⁰ The Company displays all the product information on the product label, which is mandatory. The Company also displays general information for patients in order to guide them with respect to usage of certain products.

- Number of consumer complaints in respect of the following

	FY 2021-22			FY 2020-21		
	Received during the year	Pending resolution at end of year	Remarks	Received during the year	Pending resolution at end of year	Remarks
Cyber-security	None	None		None	None	
Other-						
(i) Quality complaints	26	0	Nil	27	0	Nil
(ii) Packing complaints	20	0	Nil	28	0	Nil
(iii) Medical complaints	04	0	Nil	03	0	Nil

- Details of instances of product recalls on account of safety issues:

The Company did not have any product recalls on account of safety issues in the FY 2021-22

- Does the entity have a framework/ policy on cyber security and risks related to data privacy? (Yes/No) If available, provide a web-link of the policy.

Yes

- The Company has an Information security and Data Integrity policy in place to protect the Company's information assets and information resources.
- The Policy is applicable to all the employees, contract staff and vendors who use the IT assets and IT resources of the Company to conduct their work internally or externally
- The employees are required to abide by the policy and procedures laid down and therefore ensure protection of the Confidentiality and Integrity of Information.
- The Company reserves the right to question, audit employee action and take appropriate action if the violation is proved.

The policy is accessible to the employees and is placed on the Company intranet

- Provide details of any corrective actions taken or underway on issues relating to advertising, and delivery of essential services; cyber security and data privacy of customers; re-occurrence of instances of product recalls; penalty / action taken by regulatory authorities on safety of products / services.

During the FY2021-22, the Company has not been served penalty/action taken by regulatory authorities on safety of products / services or on any other business-related issues